RISK MANAGEMENT

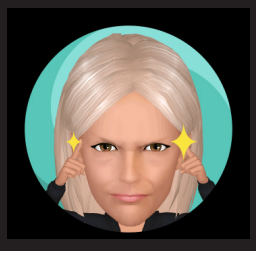




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WELCOME

THIS GUIDE WILL PROVIDE YOU WITH INFORMATION YOU NEED TO KNOW TO manage your risk so you can grow your portfolio effectively and safely.

Understanding risk management is critical to becoming a successful long-term trader, protecting your capital is the single most important thing to consider, and every trade should be managed such that a maximum pre-defined amount is at risk for each trade.

A successful trader takes profits when they are available and cuts their losses when their analysis is invalidated.

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RISK:REWARD

RISK (R)

The amount you are risking on each trade is referred to as R. It is usual to risk 1% of your capital on a trade. This does not mean you only buy 1% of the coin, as many people think. It is the amount you would lose if your stop loss order is hit.

Example:

Your capital is $10,000. If you risk 1% per trade, this would be $100.

Therefore R = $100

Keeping risk to 1% allows you to lose more than 100 trades before you lose all your capital. Less dramatically, you could lose 5 consecutive trades and still quickly recover your 5% capital loss.

Obviously, the 1% risk can be reduced for less experienced traders, or if you are on a losing streak. More experienced traders may be able to assess the probability of a trade succeeding and could increase their risk for higher probability trades through pyramiding.

REWARD

For the money you are risking it is important to ensure that any trades you take are worthwhile. There is little point risking $100 for only $50 back should you win the trade, a ratio of 1 risked to 0.5 potential gain.

Many traders focus on their percentage gains; however, this is irrelevant – what is important is that your successful trades achieve a high reward relative to what you are risking.

The above example shows if you hit your profit target you are rewarded with only half of what you risked, 0.5R.

Ideally as a new trader, you want to be searching for trades which return **2R** or higher. That is, if you risk $100, you win more than $200 for a successful trade, a ratio of 1:2 minimum.

This is referred to as the

RISK TO REWARD RATIO.

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R CALCULATION

To calculate your trade's reward, you divide the distance from your entry to your profit target, by the distance from entry to your stop loss:

R = (PROFIT TARGET - ENTRY) / (ENTRY – STOP)

Example:

If your profit target is 4% above entry, and your stop loss is 2% below entry, then 4% ÷ 2% = 2, or 2R.

TRADING VIEW

Luckily Trading View offers a tool which does the calculation for you. You can find the tool in the drawing menus on the left, the values it provides are illustrated below for a 3R trade (the lower number in the green box).



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POSITION SIZE

To ensure your risk remains at the level you have pre-defined when your stop loss is hit, you will need to calculate your position size, as follows:

POSITION SIZE = (RISK % X TRADING CAPITAL) / STOP LOSS %

Example:

You have a $10,000 portfolio and want to risk 1% per trade. You select a 3R trade with a stop loss that is 4% away from your entry. You calculate your position size using the above formula.

Position Size = 1% x $10,000 / 4% = $2,500

Therefore, you will be investing $2,500 of your $10,000 capital on this trade. If your stop loss is hit, you will lose $2500 x 4% = $100 as you originally planned. If you reach your target you will gain $300 (3R).

If you trade against BTC, you can substitute the above dollar values with BTC values for the same outcome.

Chris, one of our group members, has kindly developed a telegram bot to help you calculate position size:

ACCESS THE CALCULATOR HERE:

https://t.me/PositionCalcBot

PREPARATION

When you are preparing to take a trade the following risk management items should be considered:

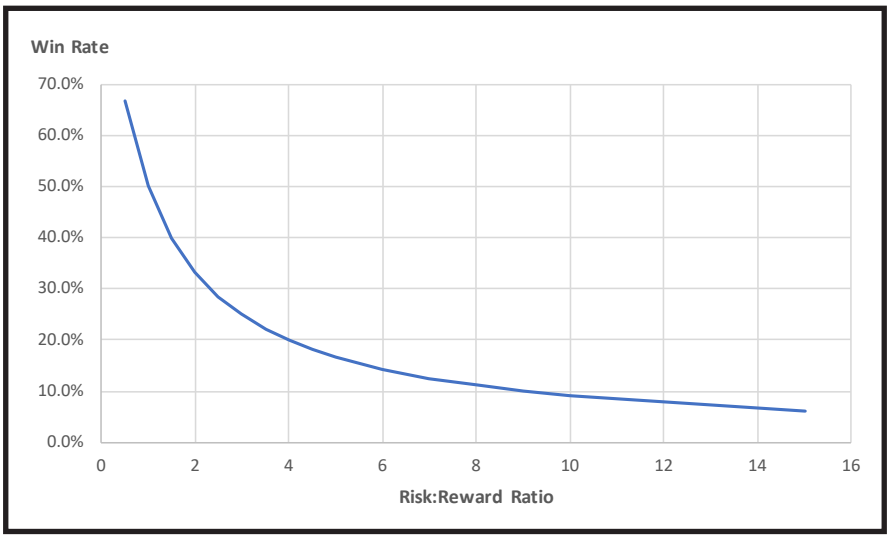
1. What is the trade?
   - » What are the entry, stop and take profit levels?
   - » Are the stop and take profit levels based on technical analysis?
   - » Are you clear about when your trade would be invalidated and you should exit?
2. What is the R:R for this trade?
   - » Is it 2R or better? Never alter the stop or profit levels to manipulate this - the trade is the trade, and the analysis is the analysis!
   - » If you are splitting targets you may have to weight the formula which becomes more complex. The other option is to consider only the first take profit target which gives you the minimum R. reward.
3. What is my position size if I want to risk 1% of my portfolio on this trade?
   - » Use the position size calculator to help you calculate position size. Again, do not alter the stop so you can take a larger position.
   - » Use leverage as necessary if your capital is not enough to take the trade.

Remember it is important you do not manipulate your stop loss to artificially increase your R, the trade should be based on technical analysis with your stop below the relevant support. If the R is insufficient you simply search for another trade.

Record how many R you are making per week/month etc. Not what percentage profit. This is what will grow your portfolio long term, and using these techniques makes a successful long-term trader.

WIN RATES

The below chart and table show what percentage of trades you need to win in order to break even based on various risk to reward ratios.



Risk:Reward	Break Even Win Rate
0.5	66.7%
1	50.0%
2	33.3%
3	25.0%
4	20.0%
5	16.7%
6	14.3%
7	12.5%
8	11.1%
9	10.0%
10	9.1%
15	6.3%

Examples:

For 0.5R trades – you risk $100 to gain $50 – you must win two-thirds to break even.

For 1R trades – you risk $100 to gain $100 – you must win half to break even.

For 2R trades – you risk $100 to gain $200 – you must win one-third to break even.

For 4R trades – you risk $100 to gain $400 – you must win only 20% to break even.

For 10R trades – you risk $100 to gain $1000 – you must win only 9% to break even.

If you took 10 trades at only 0.5R you would need to win 7 or more to make any profit. 7 trades would make $50 each, and 3 trades would lose $100 each, leaving you with $50 profit.

In contrast, if you took 10 trades at 4R, you only need to win 3 or more to make profit. 3 trades would make $400 each, and 7 trades would lose $100 each, leaving you with $500 profit.

(Not compounded for simplicity.)

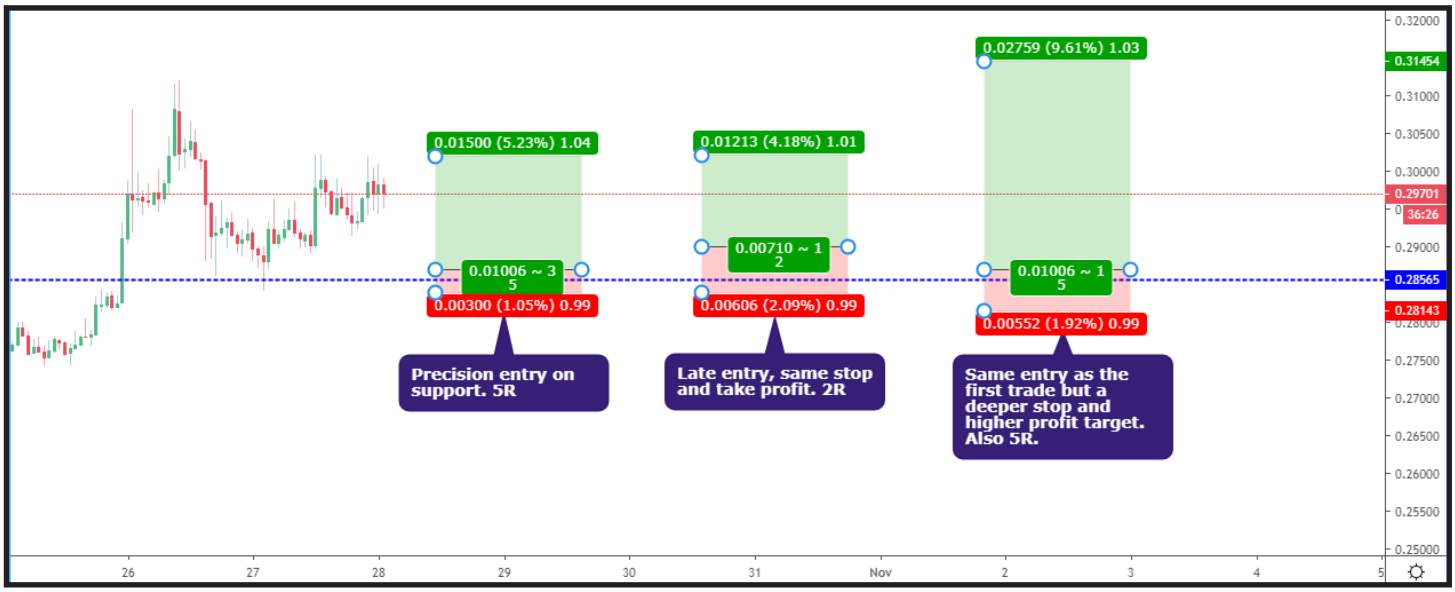
COMPARING TRADES

Using R we can effectively compare trades to each other because the risk is the same for each. By now you should understand why you are not aiming for the highest percentage gain for a trade but the highest R. Below we compare three trades with 5%, 4% and 9% gains to each other:

- *The first trade example shows an entry close to support with a tight stop immediately below support – the point where the trade is invalidated. A strong 5R trade with a 5.2% target.*
- *The second example shows a late entry, the stop is in the same place as the first trade therefore the return is reduced to only 2R.*
- *The third example shows the same entry as the first trade also with the same 5R reward. The stop is deeper and the profit target is higher. Clearly, the higher profit target has a greater risk of not being achieved than the first trade, therefore this is a lower probability trade although it has the same reward.*

Do you understand why the first trade is the best trade?

The comparison shows the importance to your portfolio of entering as close to support as you can, allowing a tight stop, as well as showing there is no real need to aim for massive percentage gains if your trades are setup effectively.



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PORTFOLIO GROWTH

Conservatively, let's say you take a trade every couple of days and you exit at the first target with an average 3R, and your average win rate is 60%.

For 30 days a month there will be 15 trades taken.

60% won → 9 trades → 3R per trade = 27R

40% lost → 6 trades → -1R per trade = -6R

Total = 21R in the month.

If you risk 1% of your portfolio per trade, i.e.

-1R = -1% of portfolio

+3R = +3% of portfolio

Then your portfolio is up 21% in the month.

LEVERAGE

If you select trades with tight stop losses you will be limited in the number you can afford to take with your capital. For example, if your risk 1% per trade, and take a trade with a stop loss of 1%, you will use 100% of your capital to take the position. This is when you can use leverage to allow you to artificially increase your capital, taking more trades **while maintaining the same risk per trade.**

Increasing the leverage of your trade does NOT change your risk* or your profit, changing your position size, or the number of contracts does.

No other trader can tell you what leverage to use, since this is a function of your personal portfolio size, risk appetite and the trades you are taking.

Example:

You long 10,000 contracts at 1x leverage. Your margin - the cost to hold your position - is 1.2XBT. If price rises by 1% you will gain 10,000 x 1% = $100.
You long 10,000 contracts at 10x leverage. Your margin - the cost to hold your position - is 0.12XBT. If price rises by 1% you will gain 10,000 x 1% = $100.

**presuming your stop loss remains closer to current price than your liquidation price.*

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Risk Management

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